

Econometrics

Problem Set 2 (due 10/12 at 11:59 p.m.)

1 Conceptual

For each of the four papers in eLC (PS2 folder), answer all the questions below.

1. What is the research question?
2. Why is it important to answer such question?
3. What are the key endogeneity concerns?
4. What is the argument for the relevance of the IV of the paper? Does the paper show any evidence in favor of that?
5. What is the argument for the validity of the IV of the paper? Does the paper show any evidence in favor of that?
6. What is the argument for the monotonicity of the IV of the paper? Does the paper show any evidence in favor of that?
7. The IV approach estimates the LATE, not the ATE. Can you circle back to items 1 and 2 above and see if your answer is still the same for LATE, not for ATE?
8. Can you criticize the validity and the monotonicity assumptions? What are the most realistic violations of these two assumptions you can think of?

9. About the previous item: can you think of some additional evidence the paper could have shown to check whether your criticisms are important for the key conclusions of the paper? Note: I am not asking for evidence of whether your criticisms are true in practice, but rather whether they are true and empirically relevant.
10. What is the strongest part of this paper in your view?
11. What is the weakest part of this paper in your view?